

Structure · vesting · data law · AI risk

Legal mistakes in months 1-3 compound into years of pain. Pay the lawyer now; save the deal later.
DPDP 2023 + AI-specific risks make this more important in 2026 than at any prior point.

Have you signed an IP-assignment with your co-founder?

WHAT'S INSIDE

- 01 Company structure
- 02 IP + founder agreement
- 03 DPDP 2023 essentials
- 04 3 AI-specific legal risks
- 05 Standard contracts

WHY THIS LESSON MATTERS

Missing IP assignment is the #1 reason Indian AI acquisitions die in diligence.

WHY

Real

A real reason this matters in industry today.

SCALE

Today

A real reason this matters in industry today.

SPEED

Now

A real reason this matters in industry today.

IMPACT

Yours

A real reason this matters in industry today.

LEARNING OUTCOMES

By the end of this lesson, you will be able to —

1

Structure options + vesting norms.

2

DPDP 2023 scope + penalties.

3

Day-1 IP assignment.

4

3 AI-specific legal risks.

5

When to call a lawyer.

AGENDA

What we'll cover today

Short, sequenced parts. Each one builds on the last.

01

Company structure

Key concept of this lesson.

02

IP + founder agreement

Day 1, not month 6

03

DPDP 2023 essentials

Key concept of this lesson.

04

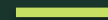
3 AI-specific legal risks

Novel in 2026

01

PART 1 OF 4

Company structure



Key concept of this lesson.

Company structure

A core idea you'll use throughout this lesson.

DEFINITION

Company structure

EXAMPLE

Real-world example: applies directly to Indian industry contexts.

CONCEPT 2 OF 4

IP + founder agreement

Every founder signs IP assignment.

4-year vesting + 1-year cliff.

Roles, equity split, decision rights written.

Use a lawyer — not LinkedIn posts.

DAY 1

Sign + vest

Cheap now; priceless later.

KEY POINTS

- Every founder signs IP assignment.
- 4-year vesting + 1-year cliff.
- Roles, equity split, decision rights written.
- Use a lawyer — not LinkedIn posts.

DPDP 2023 essentials

A core idea you'll use throughout this lesson.

DEFINITION

DPDP 2023 essentials

EXAMPLE

Real-world example: applies directly to Indian industry contexts.

3 AI-specific legal risks

Training-data licensing (scraping = risk).

Model output liability (hallucinations).

Derivative IP — who owns AI-generated artefacts.

RISKS

3 new

Novel; no settled law yet.

KEY POINTS

- Training-data licensing (scraping = risk).
- Model output liability (hallucinations).
- Derivative IP — who owns AI-generated artefacts.
- RISKS

02

PART 2 OF 4

Engage and reflect

Pause, talk, and connect what you just learned to your own work.

✦ THINK • PAIR •
SHARE

ACTIVITY

Run the day-1 legal check

PROMPT

Apply the four concepts above to one real example from your own week.

HOW TO RUN IT

1

2

3

4

Reveal: instructor confirms the canonical answer.

03

PART 3 OF 4

Knowledge check

Three short questions. One minute each. Honest answers only.

Default structure:



Default structure:



CORRECT ANSWER

Pvt Ltd

WHY

Pvt Ltd for VC path

Vesting norm:

A 1 yr

B 4 yr + 1 yr cliff

C 10 yr

D None

Vesting norm:



CORRECT ANSWER

4 yr + 1 yr cliff

WHY

Industry norm

DPDP penalty ceiling:

A

₹1 L

B

₹250 cr

C

₹10 cr

D

₹

DPDP penalty ceiling:



CORRECT ANSWER

₹250 cr

WHY

₹ 250 cr per violation

04

PART 4 OF 4

Apply and close

One thing to remember. One thing to ship this week.

SUMMARY

Five sentences to remember

If you remember nothing else from this lesson, remember these five lines.

- 1 Pick the right tool — never the loudest one.
- 2 Practice the framework on a real example.
- 3 Watch for the three classic pitfalls.
- 4 Document your decision in one sentence.
- 5 Carry the discipline forward to the next lesson.

Day-1 legal pack

Assemble for your capstone.

DELIVERABLES

- Draft founder agreement.
- Draft DPDP-compliant consent.
- List 3 AI risks + mitigations.
- Document one decision you made because of this lesson.

WHAT 'GOOD' LOOKS LIKE

Deliverable: Docs uploaded to LMS.

ONE THING TO REMEMBER

“

"The founders who sleep at night signed earliest."

— AI Learning Hub

END OF LESSON 12

What you can now do

Each one of these is now part of your working vocabulary.

- 1 Pick the right tool — never the loudest one.
- 2 Practice the framework on a real example.
- 3 Watch for the three classic pitfalls.
- 4 Document your decision in one sentence.
- 5 Carry the discipline forward to the next lesson.

NEXT → Lesson 6 — Building in Public.